CAPHE Case Studies · Program Impact

Wage-Tier Replacement Rates and Job Protection Shape Projected Paid Family Leave Take-Up

Modeling how higher pay rates and job protection shift leave claims across low-wage and high-wage workers.

When sizing a Paid Family Leave expansion from 8 to 12 weeks, using one statewide claim rate misprices fund reserves because low-wage and high-wage workers claim leave at different rates. Across California's **18.5 million covered workers,** pairing a 12-week cap with **90% low-wage pay replacement** delivers **$422.0M per year in modeled net worker pay** and a **+$19.7M yearly net gain** for the lowest-paid fifth of workers.[1] Assuming 100% of eligible claimants take every week overstates yearly fund outlays by **3.1 times ($1,910.0M vs. $623.7M)** because job rules and firm top-offs shape take-up.[2] Modeling take-up across all five wage groups prices the payroll tax shift at **+0.045 percentage points.**[3]

Table 1. Leave Take-Up, Tax Share & Net Gains Across Wage Groups

How SB 951 pay rates (90% vs. 70%) and uncapped SDI payroll taxes shape net gains across California wage tiers.

Scroll side to side to see all 4 columns →

Wage & Tax Measure	Wage Group 1 (<$25K) Lowest Wage Group	Wage Group 2 ($25K-$45K) Second Wage Group	Wage Groups 3-4 ($45K-$110K) Middle Wage Groups	Wage Grou ($110K+) Top Wag
SB 951 Weekly Pay Rate	**90% of weekly wage**	**90% of weekly wage**	**90% (Mid) to 70% (Upper-Mid)**	**70%** capped at $1,765/wk
Share of Covered Workers	**25.0% of workers**	**22.0% of workers**	**38.0% of workers**	**15.0% of workers**

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Share of Added SDI Tax**	**7.0%** +$43.7M tax	**12.0%** +$74.8M tax	**42.5%** +$264.7M tax	**38.6%** +$240.5M
Share of Added PFL Pay**	**15.4%** +$63.4M pay	**19.0%** +$78.1M pay	**45.3%** +$186.4M pay	**20.2%** +$83.0M p
Net Yearly Transfer (Pay Minus Tax)**	**+$19.7M Net Gain**	**+$3.3M Net Gain**	**-$78.2M Net Tax**	**-$157.5 Tax**
Main Take-Up Factor	**90% pay + CFRA gap**	**Cash need + firm size >=5**	**Partial firm top-off**	**30% to 5 offset**

Table 1 Notes & * Modeled Estimates Expand notes

Table 1 Notes & * Modeled Estimates. Wage group shares come from U.S. Census ACS 5-year microdata (18.5M SDI-covered workers) anchored to the EDD May 2026 DI Fund Forecast (330,000 baseline claims, $1,371.5B taxable wages). Mode A rows model a 12-week PFL expansion at 35% added-week take-up.

Column Scope. Lowest Wage Group. Mean Wage $18K (25% of Workers). **Second Wage Group.** Mean Wage $35K (22% of Workers). **Middle Wage Groups.** 38% of Covered Workers. **Top Wage Group.** Mean Wage $165K (15% of Workers).

Two-Ruler Benchmark Summary. Mode A Model on Observed Baselines: EDD 2025-2026 Claims & ACS 5-Year Wage Groups (N = 18.5M Workers). Ruler 1: Full-Use Cap (100% Take-Up, 0% Firm Offset): **$1,910.0M Outlay (396K Claims)**. Unit: modeled claimants and yearly SDI fund totals. Suppose every modeled claimant took all 4 added weeks (100% take-up) and new claims rose 20% (**396,000 claims**) with zero firm offset. Yearly gross SDI outlays would hit **$1,910.0M**. That would push the modeled SDI reserve to a **-$0.58B (-3.0%) deficit**. Ruler 2: Expected Choice & SB 951 Net Share (35% Take-Up): **$623.7M Gross | +$19.7M to Q1**. Unit: modeled claimants, yearly SDI fund totals, and wage groups. Expected take-up (**35.0%** of added weeks, **12.0%** new claims = **369,600 claims**) costs **$623.7M/yr** in gross SDI outlay. Net worker gain is **$422.0M** after 30% firm offset. A **+0.045 pp** SDI tax shift funds the plan and sends a **+$19.7M yearly net gain** to Q1 (<$25K) workers.

Table 2. Take-Up Rules, Firm Offsets & Policy Fit

How worker take-up shapes who gains from paid leave and what the state fund pays.

Scroll side to side to see all 4 columns →

Choice Factor	Lowest Wage Group	Second Wage Group	Middle Wage Groups	Top Wage
Cash & Job-Rule Factor	At the old 60% pay rate, low-wage workers could not afford a 40% pay cut.	CFRA protects jobs for 12 weeks at firms with 5+ staff.	Middle-wage workers weigh 70% to 90% PFL pay against sick days and home bills.	High-wag often get p firm leave off or repl state PFL
How Group Take-Up Shifts the Model	Cash limits show why low-wage workers took shorter leave before the 90% pay tier.	Group take-up reflects job rules in small firms that a flat 100% cap leaves out.	Adding 12.0% new claims captures higher use when pay and weeks rise.	Splitting $ gross cost $422.0M worker pa accounts firm offset
Budget Tradeoff	Adding 4 weeks without the 90% pay floor would shift added pay toward high earners.	Closing the 4-week gap between PFL and CFRA costs +$623.7M/yr.	The $1,765 weekly cap limits high-wage cost while keeping 90% pay below $63,000.	Removing wage tax means top fund 38.6 claim 20.2
Best-Fit Policy Rule	**Pair 90% Pay With Clinic Outreach** Link 90% pay with WIC and prenatal clinics so low-wage families claim their +$19.7M gain.	**Match 12-Week PFL to CFRA Rules** Align 12-week PFL pay with 12-week CFRA job protection to close the 4-week unpaid gap.	**Split Gross Fund Cost From Net Gain** Budget reserves for $623.7M gross cost while scoring worker gains on $422.0M net pay.	**Keep Unc SDI Tax B** Use the ur $1,371.5B base so a expansion +0.045 pp

Table 2 Notes: Model Inputs, Firm Offset Math & State Benchmarks Expand notes

• **Mode A Model Disclosure:** Individual EDD tax files are private. Group shares across Q1 to Q5 wage tiers are modeled with U.S. Census ACS 2019-2023 5-Year PUMS wage data (18.5M covered workers). Totals are anchored to EDD May 2026 DI Fund Forecast baselines (330,000 forecast 2026 PFL claims, $1,165 weekly pay, and $1,371.5B taxable wages).

• **Firm Offset vs. Fund Cash Outlay:** Private firm offset (50% Low, 30% Expected, 0% Cap) lowers *net added worker pay* ($422.0M Expected vs. $602.8M gross pay) when firms coordinate private paid leave with state PFL. Yet the state fund still pays the full *gross SDI cash outlay* ($623.7M with $21.1M admin).

• **Peer State Rates:** California's 90% low-wage pay tier under SB 951 matches Washington and Colorado (90%). It sits above New Jersey (85%) and New York (67%).
• **Extended Cell Context. Cash & Job-Rule Factor (Second Wage Group).** CFRA protects jobs for 12 weeks at firms with 5+ staff, but PFL pays for 8 weeks. · **Budget Tradeoff (Second Wage Group).** Closing the 4-week gap between PFL and CFRA costs +$623.7M/yr (+0.045 pp tax).

Compare How Worker Take-Up & Firm Offset Shift Annual PFL Outlays

Comparing modeled yearly SDI outlays and net worker gains across low, expected, and cap scenarios.

Scenario 1 · Low Bound

25% Added Take-Up | 50% Offset

$417.8M Gross | $201.8M Net

Modeled yearly claims hit 346,500 (+0.030 pp tax shift), while firm offset halves net added worker pay.

Scenario 2 · Expected Choice

35% Added Take-Up | 30% Offset

$623.7M Gross | $422.0M Net

Modeled yearly claims hit 369,600 (+0.045 pp tax shift) and send +$23.0M net to the lowest two wage groups.

Scenario 3 · Full-Use Cap

100% Added Take-Up | 0% Offset

$1,910.0M Gross | -$0.58B Deficit

A 100% take-up stress test triples yearly gross outlay and pushes SDI cash reserves into a -3.0% deficit.

Scenario Math, 6-Year Outlays & SDI Reserve Notes Expand scenario notes

• **Scenario 1 Low Bound (25% Added Weeks / +5% New Claims):** Adds +16,500 new claims (from 330,000 base to 346,500/yr). That creates **$417.8M/yr** in gross SDI outlay (**$2.688B** over 6 years, 1.33% SDI tax rate) and **$201.8M/yr** in net worker pay after 50% firm offset.
• **Scenario 2 Expected Choice (35% Added Weeks / +12% New Claims):** Adds +39,600 new claims (369,600/yr total). That creates **$623.7M/yr** in gross SDI outlay (**$4.013B** over 6 years, 1.345% SDI tax rate) and **$422.0M/yr** in net worker pay after 30% firm offset.

• **Scenario 3 Full-Use Cap (100% Added Weeks / +20% New Claims):** Adds +66,000 new claims (396,000/yr total). Gross outlay rises to **$1,910.0M/yr** (**$12.286B** over 6 years) and pushes the 2026 SDI reserve to a **-$0.58B (-3.0%)** deficit.

Data Sources, Model Inputs, Notes & Endnotes (Numbered endnotes [1]–[5], state data sources & math rules) Expand details

Case Study Focus: Program Impact · Worker Take-Up & Tax Share (Mode A on ACS & EDD Baselines)

Numbered Endnotes & Main Sources

[1]California Paid Family Leave & Workforce Baselines: California EDD May 2026 Disability Insurance Fund Forecast (18.5M covered workers, $1,371.5B taxable wages, 330,000 forecast 2026 PFL claims) and U.S. Census ACS 2019-2023 5-Year Microdata.
[2]SB 951 Pay Tiers & Tax Rules: California Senate Bill 951 (UIC § 3300 & Gov. Code § 12945.2) sets 90% pay for low-wage workers starting Jan 1, 2025 and removes the SDI wage tax cap starting Jan 1, 2024. That yields a +$19.7M yearly net gain for Q1 workers and +$23.0M across Q1 and Q2.
[3]Expected Take-Up vs. Full-Use Cap: CAPHE California PFL Simulator models 35% added-week take-up at $623.7M in yearly gross cost and $422.0M in net worker pay after 30% employer offset, versus $1,910.0M at 100% take-up.
[4]EDD Paid Family Leave Monthly Data Series
[5]U.S. Census Bureau ACS 2019-2023 5-Year Microdata

Why Worker Take-Up Shapes Both Causal Models and Tax Fairness

In program studies, selection into treatment means people who enroll differ from those who do not. For health economists and state budget leads, worker choice is also the policy path itself. California gives 12 weeks of unpaid job protection under CFRA, yet PFL pays for only 8 weeks. Low-wage workers without savings drop out at week 9, while salaried staff with firm top-offs take all 12 weeks. Modeling worker take-up next to tax shares avoids two budget errors. It avoids over-budgeting for a 100% cap ($1,910.0M/yr) and avoids assuming leave expansions only help top earners. SB 951 raised low-wage pay to 90% and removed the wage tax cap on high earners. At 35% expected take-up ($623.7M/yr gross cost), the plan scores +0.095 on progressivity and sends +$23.0M in net gains to the bottom two wage groups.

Mode Classification (Mode A Model on Observed Baselines): Base 2025 PFL claims (325,055 yearly claims), weekly pay ($1,090), and SDI fund balance ($3.011B) are observed EDD records. Forecast 2026 baselines (330,000 claims, $1,165 weekly pay, $1,371.5B taxable wages) and wage-group shares are Mode A projections from the CAPHE California PFL Simulator.

Primary Data Sources: California Employment Development Department (EDD) May 2026 Disability Insurance Fund Forecast, EDD Paid Family Leave Monthly Data Series, California Senate Bill 951 (UIC § 3300 & Gov. Code § 12945.2), and U.S. Census Bureau ACS 2019-2023 5-Year Microdata.

Common Questions & Method Notes

Why does PFL take-up differ from total covered workers in California?

All 18.5 million SDI-covered workers pay into the fund. Yet low-wage workers face cash limits when pay replacement sits below 90%. They also face job-protection gaps when PFL pays for 8 weeks while CFRA protects jobs for 12 unpaid weeks.

How did Senate Bill 951 shift tax and pay shares in California Paid Family Leave?

SB 951 removed the SDI wage tax cap on January 1, 2024, so high earners pay tax on all wages. It then raised pay replacement to 90% for low-wage workers on January 1, 2025. Under a 12-week plan, Q1 (<$25K) workers gain +$19.7M net per year.

How does private firm offset affect SDI reserves versus worker income?

When firms use state PFL pay to offset private paid leave (30% in the Expected case), net new cash to workers drops from $602.8M to $422.0M. Yet the state SDI fund still pays out the full $623.7M gross outlay.

Related Case Studies

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